

For now, though, investors are once again caught in the passionate dream of the time and are ignoring the message of the Wave Principle just when it is the most valuable. Ten years ago, *The Elliott Wave Theorist* assured readers that “We have been making wonderful hay while the sun shines, and the balance of indicators says that the sun is still shining brightly, at least for a few more hours.” At this juncture, the investment landscape is slashed with the long, dark shadows of sunset. While in the late 1970s and early 1980s, Elliott Wave analysis indicated that a major bottoming process in financial and social trends was near an end, today it indicates the opposite. With “gloom and doom” now completely out of fashion, the Wave Principle says, “It’s time.”

Despite my sometimes passionate exposition, a bit of which I deem necessary to counter the prevailing state of social self-hypnosis, it is important to comprehend that this is not a “gloom and doom” book. It is simply an elaboration of the second half of a forecast that was made many years ago in *Elliott Wave Principle*, which predicted both a major advance *and* a major decline. My current expectation, then, is not a conventional forecast based upon the assumed continuation of currently visible trends and forces, but the application of a rule of social change that has proved itself time and again.

The essential problem with conventional forecasts is the premise behind them. Almost everyone thinks that extramarket conditions control the future of the stock market and that the best way to forecast the market is to extrapolate such conditions indefinitely into the future. This approach never works for long, because economic and social conditions are always worst at the bottom and best at the top. They cannot be otherwise, because it is the psychology behind the markets that creates the bottoms and tops. It is also the psychology behind the markets that creates economic and social conditions. These points are crystal clear once you grasp them, but they elude, and will always elude, the vast majority of investors, both public and professional. For instance, while the times today are historically positive, upbeat and optimistic, these facts are not harbingers of trends; they are the *result* of the trends forecasted in *Elliott Wave Principle* seventeen years ago. The reason there is a dearth of “gloom and doomers” today is that the future just feels too promising for most people to bet against, which is exactly why markets must be nearly fully valued, and therefore approaching a top.